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Case Number: 23SMCV03220 Hearing Date: September 24, 2026 Dept: P

Tentative

Ruling

Gary

Shafner v. Brenda Marsh, et al., Case No. 23SMCV03220

Defendants'

Motion for Judgment on the Pleadings

Hearing

Date: September 24, 2026

Background

Plaintiff

Gary Shafner sues Defendants Pete Zackery ("Zackery"); Richard Marcus; Brenda Marsh; Goren Marcus Masino & Marsh, LLP ("Accounting Defendants"); Citrin Cooperman Advisors, LLC; Daniel F. LeClair; and Does 1-25 for (1) breach of contract; (2) breach of fiduciary duty; (3) aiding and abetting; (4) conversion; (5) fraud by concealment; (6) fraud by concealment; (7) intentional misrepresentation; (8) breach of the implied covenant of good faith and fair dealing; (9) constructive trust; (10) professional negligence; (11) accounting; (12) declaratory relief; (13) violation of penal code § 496; (14) violation of RICO section 1962(C); (15) violation of RICO section 1962(A); (16) violation of RICO section 1962(D); and (17) financial elder abuse. Shafner alleges that Defendants engaged in a pattern of embezzlement from Shafner and Zackery's longstanding advertising partnership.

On July

18, 2023, Shafner filed the initial complaint.

On August

28, 2023, Zackery answered.

On

September 27, 2023, Zackery filed a motion to bifurcate the partnership dispute and the embezzlement claims and a motion for a protective order staying discovery on the embezzlement claims until the first phase of litigation concluded. On October 24, 2023, The Court denied Zackery's motion, finding the two proposed phases too interrelated.

On October

17, 2023, the parties stipulated to file the first amended complaint.

On October

24, 2023, Shafner filed the First Amended Complaint ("FAC"), the operative pleading in this action.

On

November 11, 2023, the Accounting Defendants answered the FAC.

On July

12, 2024, the parties filed a stipulated protective order.

On

February 19, 2025, Shafner filed a notice of settlement of entire case and scheduled an OSC re: Dismissal for June 25, 2025. The settlement was never finalized.

On April

1, 2026, the Accounting Defendants filed this Motion for Judgment on the Pleadings on Shafner's fourteenth through sixteenth causes of action. On May 15, 2026, Shafner filed opposition. On May 21, 2026, the Accounting Defendants replied.

On May 6,

2026, Zackery filed a motion to seal and an ex parte application for appointment of a guardian ad litem. On May 7, 2026, the Court ordered an

Independent Medical Examination before hearing the application for the guardian ad litem. The Court continued the hearing on the guardian ad litem to May 29, 2026.

On May 29, 2026, the Court granted the Accounting Defendants' Motion for Judgment on the Pleadings as to Shafner's three RICO allegations against the Accounting Defendants with leave to amend.

On June 12, 2026, Shafner filed a Second Amended Complaint (SAC).

On July 14, 2026, the Accounting Defendants filed this demurrer to Shafner's Sixteenth cause of action under 18 U.S.C. § 1962(d) for conspiracy to commit racketeering. On August 13, 2026, Shafner filed opposition. On August 19, 2026, the Accounting Defendants filed a reply.

Arguments

The Accounting Defendants argue that Shafner's amended complaint does not cure the defects in Shafner's conspiracy to commit racketeering claim because the SAC re-casts business dealings as a RICO enterprise. (Demurrer, pp. 16-17.) The Accounting Defendants argue that the SAC alleges no RICO enterprise apart from the alleged misconduct and therefore does not state a claim for a RICO conspiracy. (Ibid.) Next, the Accounting Defendants argue that the SAC fails to state a claim for RICO conspiracy because it does not properly allege repeated wire fraud or money laundering to support the alleged pattern of racketeering activity. (Id. at p. 18-20.) The Accounting Defendants also argue that the SAC does not plead that the Accounting Defendants agreed to facilitate a RICO violation. (Id. at p. 20.) Finally, the Accounting Defendants argue that leave to amend would be futile because it would only repackage the same deficient theory.

In opposition, Shafner argues that the Accounting Defendants overstate the requirements to allege a RICO enterprise. (Opposition, p. 6.) Shafner argues that under *Boyle v. U.S.* (2009) 556 U.S. 938, there is no need to allege a business structure separate from the racketeering activity itself. (Id. at p.

7.) Shafner argues that the standard under Boyle is not very demanding and that the SAC properly alleges a RICO enterprise because it alleges a common purpose and identifies the participants and their roles. (Id. at pp. 8-9.) Next, Shafner argues that the SAC pleads the predicate racketeering acts by alleging multiple instances of wire fraud and money laundering. (Id. at p. 11-12). Shafner argues that the SAC properly pleads agreement to the conspiracy because it alleges that the Accounting Defendants agreed to further the purpose of the RICO conspiracy. (Id. at p. 14-15.)

In reply, the Accounting Defendants argue that Shafner conflates two elements of a RICO violation—the RICO enterprise and the underlying pattern of racketeering activity. (Id. at p. 6.) Next, the Accounting Defendants argue that the opposition identifies two alleged instances of misconduct, not two instances of actionable RICO predicates because it does not plead wire fraud by anyone and because it does not plead money laundering. (Id. at pp. 7-10.) The Accounting Defendants argue that what the opposition contends is consent to a RICO enterprise is actually tender of professional services, which is not assent to the RICO enterprise, and that the SAC does not allege assent to the alleged RICO conspiracy. (Id. at p. 11.)

Demurrer

In a demurrer proceeding, the defects in the complaint must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or facts alleged.” (*E-Fab, Inc. v. Accountants, Inc. Servs.* (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (*Ibid.*) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (*Id.*; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any

reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245).

Before

filing a demurrer, parties must meet and confer in person or by phone. (Code Civ. Proc. § 430.41.)

Discussion

Meet

and Confer

On July 8,

2026, the parties met and conferred by videoconference, satisfying Code Civ. Proc. § 430.41's meet and confer requirement. (Solomon Decl., ¶ 3.)

Violation

of 18 USC § 1962(d)

Shafner

contends that the SAC states a claim under 18 U.S.C. 1962 subsection (d) because it alleges that the accounting defendants conspired with Zacker to execute a racketeering scheme. (18 U.S.C. 1962(d) [“(d) It shall be unlawful for any person to conspire to violate any of the provisions of subsection (a), (b), or (c) of this section.”].)

To state a

claim under that theory, the SAC must plead racketeering under 18 U.S.C. § 1962 subsections (a), (b), or (c) and civil conspiracy.

To state a

claim for violation of 18 USC § 1962(C), a complaint must allege facts demonstrating that the defendant(s) engaged in (1) conduct or participated in the conduct of (2) an enterprise (3) through a pattern (4) of racketeering activity, and (5) that the defendant caused injury to the plaintiff's business or property. (Chaset v. Fleer/Skybox Int'l, LP (9th Cir. 2002), 300 F.3d 1083, 1086; United States v. Fernandez (9th Cir. 2004), 388 F.3d 1199, 1221, modified, (9th Cir. 2005) 425 F.3d 1248.)

A

complaint states a claim for civil conspiracy where it alleges facts showing (1) defendants' agreement to the objective and course of action to injure; (2) wrongful act pursuant to such agreement; and (3) resulting damage. (*Klistoff v. Superior Court* (2007) 157 Cal.App.4th 469, 479; *Wyatt v. Union Mortgage Co.* (1979) 24 Cal.3d 773, 784-786 [conspiratorial agreements may be circumstantially inferred from circumstances including the nature of the acts, the relations of the parties-- e.g., family business, or corporate officers or directors), and the interests of the alleged conspirators].)

A.

RICO

enterprise

There are

two types of RICO enterprises: organizations like corporations and partnerships, and "other legal entities," which includes any group of individuals associated in fact but not an organized entity. (*Shaw v. Nissan North America, Inc.* (2016) 220 F.Supp.3d 1046, 1053.) The SAC alleges an association-in-fact. (SAC, ¶ 144.) An association-in-fact must have "at least three structural features: a purpose, relationships among those associated with the enterprise, and longevity sufficient to permit these associates to pursue the enterprise's purpose." (*Boyle v. U.S.* (2009) 556 U.S. 938, 945 ("Boyle").)

Though it is not entirely settled if a fraudulent purpose is required, businesses engaged in ordinary business conduct do not necessarily constitute a RICO enterprise. (*Shaw v. Nissan North America, Inc.*, *supra*, 220 F.Supp.3d at 1054.)

A RICO

enterprise is an element distinct from the alleged pattern of racketeering activity but does not need to be a separately-structured business. (*Boyle*, *supra*, 556 U.S. at 947.) In *Boyle*, the Supreme Court addressed whether an "association-in-fact enterprise under the Racketeer Influenced and Corrupt Organizations Act (RICO), 18 U.S.C. § 1961 et seq., must have 'an ascertainable structure beyond that inherent in the pattern of racketeering in which it engages.'" (*Id.* at 941.) The Court found that the trial court correctly denied petitioners' request for a jury instruction that the government must prove that the RICO enterprise had an ascertainable structure beyond that inherent in the pattern of racketeering activity alleged. (*Id.* at p. 947.) The Court found that evidence that petitioners participated in a

series of bank thefts in New York, New Jersey, Ohio, and Wisconsin during the 1990s and were a loosely organized group that did not appear to have a leader, hierarchy, or long-term plan or agreement was sufficient to establish a RICO enterprise. (Id. at

When

considering if the phrase “beyond that inherent in the pattern of racketeering activity,” was proper, the Court stated:

“Beyond

that inherent in the pattern of racketeering activity.” This phrase may be interpreted in at least two different ways, and its correctness depends on the particular sense in which the phrase is used. If the phrase is interpreted to mean that the existence of an enterprise is a separate element that must be proved, it is of course correct. As we explained in *Turkette*, the existence of an enterprise is an element distinct from the pattern of racketeering activity and “proof of one does not necessarily establish the other.”⁴ 452 U.S., at 583, 101 S.Ct. 2524.

On

the other hand, if the phrase is used to mean that the existence of an enterprise may never be inferred from the evidence showing that persons associated with the enterprise engaged in a pattern of racketeering activity, it is incorrect. We recognized in *Turkette* that the evidence used to prove the pattern of racketeering activity and the evidence establishing an enterprise “may in particular cases coalesce.” (Ibid.)

However,

the Court also stated that a RICO enterprise must be more than a mere conspiracy to commit a RICO predicate offense. “Section 1962(c) demands much more: the creation of an ‘enterprise’—a group with a common purpose and course of conduct—and the actual commission of a pattern of predicate offenses.” (Id. at p. 950.) The Court found that the jury instructions given by the trial court were adequate because they instructed that “the Government was required to prove that there was an ‘ongoing organization with some sort of framework, formal or informal, for carrying out its objectives’ and that ‘the various members and associates of the association function[ed] as a continuing unit to achieve a common purpose.’” (Id. at p. 951.)

Both

parties have cited cases that they argue interpret the Boyle decision in a manner which supports their arguments. (See Suzuki Motor of America, Inc. v. Mullion, 2017 WL 7410993 (C.D.Cal. 2017) [finding that Suzuki's allegations that Defendant worked with two other individuals to steal money from her employer for her own enrichment and helped conceal the theft were insufficient to allege a RICO enterprise because it did not allege an enterprise separate from the underlying conduct]; c.f. In re Park West Galleries, Inc., Marketing and Sales Practices Litigation, 732 F.Supp.2d 1159 (W.D.Wash. 2010) at 1167-1168 [finding that allegations that Park West and cruise lines formed an on-going association to funnel cruise line passenger to Park West's auction for the purpose of selling worthless artwork properly claimed a RICO enterprise].)

Here, the

SAC alleges that Zackery formed a RICO enterprise to “obtain some post-mortem liquidity options for his wife and very young child. . . neither Pete nor I really want such a huge hunk of his total net worth tied up in an illiquid enterprise over which his wife will have zero influence or control.” (FAC, ¶ 46.) The SAC describes the Accounting Defendant's conduct in detail in the section entitled “The Misconduct By Accountants and LeClair.” (SAC, p. 11, ¶¶ 41-72.) Shafner alleges that the Accountants knew that Zackery was embezzling from the partnership to purchase properties in Oregon, advised Zackery on operating the business to minimize its tax burdens, met informally and formally, formed a holding company that Shafner paid for, in part, and concealed that their accounting invoices were for maintaining the Oregon properties. (Ibid.)

The

allegations against the Accounting Defendants are undoubtedly serious, but they do not rise to the level of a RICO enterprise because the SAC does not allege longevity beyond the Oregon property scheme, nor does it allege conduct separate from the underlying RICO violations. Though evidence of a pattern of racketeering can also show a racketeering enterprise, such evidence must show more than a conspiracy to commit an underlying offense. (Boyle, supra, 556 U.S. at 950.) The enterprise's alleged conduct is primarily participation in one large embezzlement project. As compared to Boyle, which involved a series of bank robberies perpetrated by a loose organization of individuals, or In re Park West Galleries, the alleged enterprise has no longevity or common purpose that extends beyond the underlying activity, though the alleged embezzlement took place over several years. In both Boyle and In re

Park West Galleries, the complaints alleged multiple thefts or instances of fraud. (See *In re Park West Galleries*, supra, 732 F.Supp.2d at 1169.) If the Court were to find that Shafner properly claimed a RICO enterprise here, it would be merging the RICO enterprise and the pattern of racketeering activity elements because there is no showing of an enterprise beyond the alleged embezzlement.

Leave
to Amend

In his opposition, Shafner does not request leave to amend. The burden is on the party opposing a demurrer to show that it can state a claim if given leave to amend. (*Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226) Additionally, this is the second time that the Court has considered this issue and the underlying facts alleged have not changed. Though Shafner undoubtedly alleges serious misconduct, that misconduct is not the type contemplated by the RICO statute.

Conclusion

The
Accounting Defendants' demurrer is SUSTAINED without leave to amend.